Block practice · Sources of finance and cash flow

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Why cash matters and how to improve cash flow

Cash-flow forecasts: terms, uses and limits

Net cash flow and closing balance

Sources of finance and why businesses need finance

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Practice workbook · Why cash matters and how to improve cash flow

Why cash is needed to pay suppliers, overheads and staff, how shortages lead to insolvency, and ways to improve cash flow.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-08

1. Question 2 · part d · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part d only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

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1. Question 2 · part d · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part d only.

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(d) Explain **one** reason why it is important that businesses pay their suppliers on time.

(3)

(e) Explain **one** effect on a business if interest rates are decreased.

(3)

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1. Question 2 · part d · 3 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

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1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company*.

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

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P 5 9 9 3 0 R A 0 4 1 6

2. Question 1 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

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(b) Define the term **insolvency**.

(1)

(c) Define the term **product life cycle**.

(1)

(d) State **one** reason why a *Tata Motor Company* employee could be dismissed.

(1)

In December 2016 the global vehicle sales for *Tata Motor Company* were 89,841.

In December 2017 the global vehicle sales figure was 23% higher.

(e) Calculate the global vehicle sales for *Tata Motor Company* in December 2017. You are advised to show your working.

(2)

(f) Explain **one** impact of technology on the manufacture of vehicles.

(3)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.i · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.i only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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3. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.ii · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

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(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

4. Question 1 · part a.ii · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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4. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

5. Question 1 · part a.iii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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5. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 3 · part b · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

..... %

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P 6 6 4 7 3 R A 0 1 2 2 0

6. Question 3 · part b · 2 marks · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

3 One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

(1)

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

(2)

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

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Figure 1 shows an extract from the cash flow forecast for *TADS*.

	February (£)
Opening balance	4 000
Cash inflow	7 000
Cash outflow	3 000
Net cash flow	
Closing balance	

Figure 1

(c) Calculate the closing balance for February. You are advised to show your working.

(2)

£.....

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

(d) Analyse the importance of cash to *TADS*.

(6)

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

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TADS is looking to increase its revenue.

TADS is considering the following **two** options:

Option 1: teach other musical instruments

Option 2: increase the number of online drum lessons.

(e) Justify which **one** of these two options *TADS* should choose.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

4 *PPS* is planning to introduce a new line of dog treats. **Figure 4** shows some financial information for this product.

	€
Monthly fixed costs	1 000
Variable cost per unit	3.25
Selling price	4.50

Figure 4

(a) Calculate the break-even level of output for this new line of dog treats. You are advised to show your working.

(2)

..... dog treats

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8. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

(b) Analyse the importance of cash to *PPS*.

(6)

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8. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

Another pet business is about to open a rival pet hotel in the village. This is the first time *PPS* has faced competition.

(c) Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

4 In 2023, the monthly minimum wage in Portugal was €820.00

In 2024, the government increased this by 3.6%.

(a) Calculate, to **two** decimal places, the new monthly minimum wage after an increase of 3.6%. You are advised to show your working.

(2)

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9. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

(b) Analyse the importance of cash to the success of *Ocean Vibes*.

(6)

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9. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

Ocean Vibes is considering operating as a franchise to further expand the business. It will offer the opportunity to other businesses or individuals to run their own boat tours using the *Ocean Vibes* brand name. The franchisees would provide boat tours in other holiday resorts in Portugal.

(c) Evaluate the benefits to *Ocean Vibes* of operating as a franchise to further expand its business. You should use the information provided as well as your own knowledge of business.

(12)

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9. Question 4 · part b · 6 marks · Working and answer

Working and answer

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Practice workbook · Cash-flow forecasts: terms, uses and limits

Inflows, outflows, net cash flow and balances, plus why businesses forecast cash and the limitations of forecasts.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-09

1. Question 2 · part c · 3 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part c only.

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2 One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

(1)

(b) State **one** financial objective *IKEA* might have.

(1)

(c) Explain **one** reason why cash flow forecasting is important to a business.

(3)

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1. Question 2 · part c · 3 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part c only.

(d) Explain **one** reason why diseconomies of scale may occur.

(3)

(e) Explain **one** reason why businesses continually design new products.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.iv only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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2. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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2. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.ii · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

O1-levels.COM — SCHOOL —

3. Question 1 · part a.ii · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.i · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a.i only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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4. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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5. Question 1 · part a.iii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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5. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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6. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

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7. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.iv only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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7. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.iv only.

A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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7. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a only.

3 *Premier Inn* employees play an important part in the running of its hotels and providing a good service. If they provide a good service, it means guests may return.

(a) Define the term **net cash flow**.

(1)

(b) Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form.

(2)

Employees of *Premier Inn* earn £15.27 per hour when working overtime.

(c) Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime. You are advised to show your working.

(2)

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8. Question 3 · part a · 1 mark · Working and answer

Working and answer

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9. Question 2 · part e · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

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(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

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9. Question 2 · part e · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(e) Explain **one** reason why cash flow forecasts are important for a business.

(3)

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P 5 9 9 3 2 A 0 8 1 6

9. Question 2 · part e · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Yellow needs to recruit more sales assistants for its stores. It is considering **two** options:

Option 1: employ only full-time staff

Option 2: employ only part-time staff.

(f) Justify which **one** of these two options *Yellow* should use.

(9)

(Total for Question 2 = 20 marks)

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9. Question 2 · part e · 3 marks · Working and answer

Working and answer

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10. Question 2 · part d · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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P 6 6 4 7 2 A 0 8 2 0

10. Question 2 · part d · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** limitation of a cash flow forecast when making business decisions.

(3)

(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

(3)

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10. Question 2 · part d · 3 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 *M&M* sells its tractors to the UK. Its tractors sell for 14 000 000 Indian Rupees.

The exchange rate is 103 Indian Rupees = £1 (GBP).

(a) Calculate, to 2 decimal places the cost of the tractor in pounds sterling (GBP). You are advised to show your working.

(2)

£.....

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11. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Analyse why *M&M* wants to continue planting trees.

(6)

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11. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Evaluate why *M&M* uses cash flow forecasting to help inform decision making. You should use the information provided as well as your own knowledge of business.

(12)

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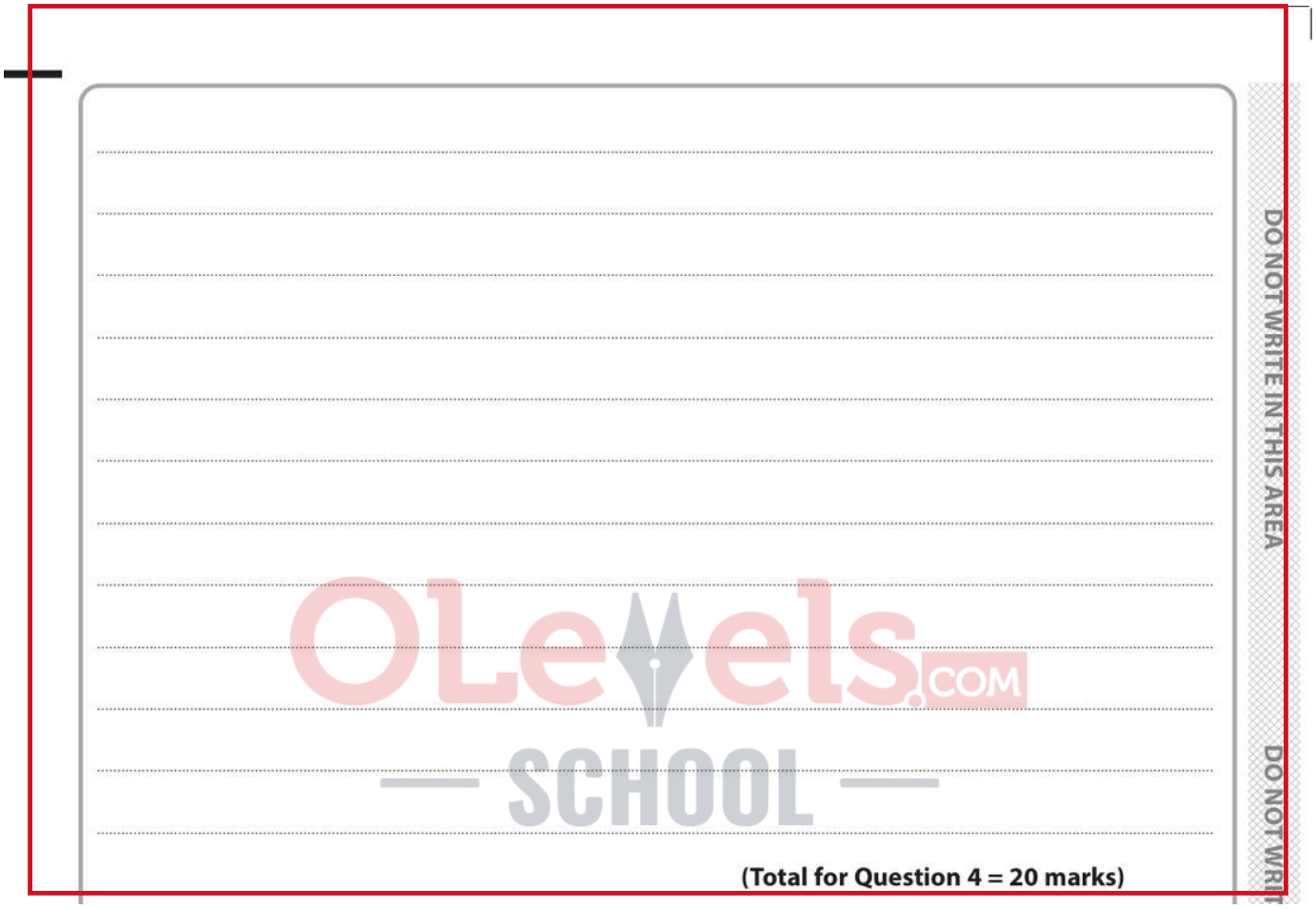
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11. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



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11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Net cash flow and closing balance

Using cash-flow forecast relationships: net cash flow = inflows - outflows; closing = opening + net cash flow; or working back to a missing outflow.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-07

1. Question 3 · part c · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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3 (a) Define the term **diseconomies of scale**.

(1)

(b) Outline **one** method of primary market research that *PPS* could use to gain feedback on its services.

(2)

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1. Question 3 · part c · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

Figure 3 is an extract of financial information from a *PPS* monthly cash flow forecast.

	€
Opening balance	16 000
Cash inflow	22 000
Cash outflow	20 000

Figure 3

(c) Calculate the closing balance. You are advised to show your working.

(2)

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14

P 7 5 8 4 1 A 0 1 4 2 4

1. Question 3 · part c · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

PPS wants information on its customers' spending patterns.

(d) Analyse the importance of reliable market research to obtain this information.

(6)

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1. Question 3 · part c · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

3 One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

(1)

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

(2)

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

Figure 1 shows an extract from the cash flow forecast for *TADS*.

	February (£)
Opening balance	4 000
Cash inflow	7 000
Cash outflow	3 000
Net cash flow	
Closing balance	

Figure 1

(c) Calculate the closing balance for February. You are advised to show your working.

(2)

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

(d) Analyse the importance of cash to *TADS*.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

☒ **A** Provision of services

☒ **B** Exchange of goods

☒ **C** Extraction of raw materials

☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

☒ **A** The person can buy supplies from any supplier

☒ **B** The person is given support from an established business

☒ **C** The person is guaranteed a set wage

☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

☒ **A** 6.63%

☒ **B** 15.09%

☒ **C** 33.75%

☒ **D** 50.94%

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3. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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3. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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3. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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4. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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4. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

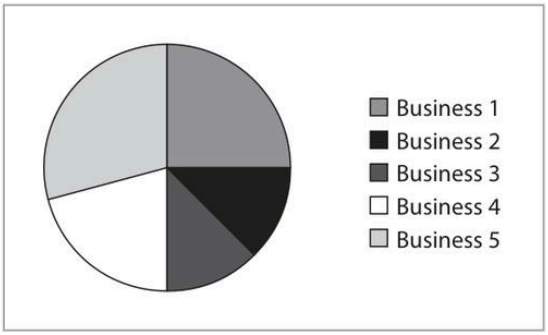


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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4. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

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(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

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.....

.....

(c) Define the term **globalisation**.

(1)

.....

.....

.....

P 6 2 4 2 7 A 0 5 2 0

4. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

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Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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4. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(f) Explain **one** of the factors in Herzberg's motivational theory.

(3)

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P 6 2 4 2 7 A 0 7 2 0

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4. Question 1 · part e · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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5. Question 1 · part e · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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5. Question 1 · part e · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

€.....

P 7 0 7 3 6 A 0 5 2 0

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Turn over ▶

5. Question 1 · part e · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Explain **one** benefit to a business of improving communication with its employees.

(3)

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5. Question 1 · part e · 2 marks · Working and answer

Working and answer

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6. Question 1 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

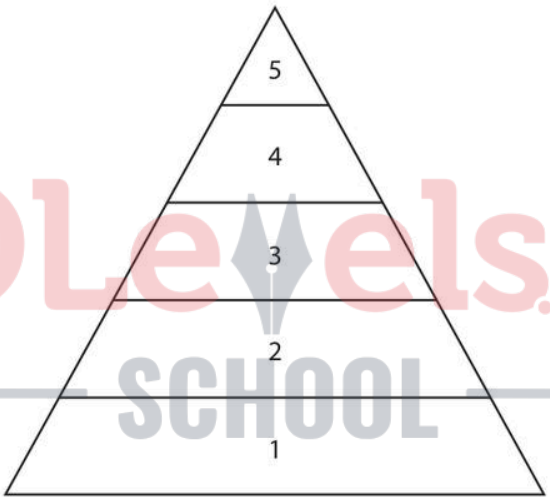


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

6. Question 1 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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6. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.v · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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7. Question 1 · part a.v · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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7. Question 1 · part a.v · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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7. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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8. Question 3 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **legislation**.

(1)

(b) Outline **one** reason why *Saha* may dismiss an employee.

(2)

Figure 2 is an extract from a cash flow forecast.

	£
Cash inflows	
Sales	24 000
Other income	5 000
Cash outflow	
Net cash flow	11 000

Figure 2

(c) Calculate the **cash outflow**. You are advised to show your working.

(2)

£.....

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8. Question 3 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

(d) Analyse **two** possible reasons that may lead to business failure for *Saha*.

(6)

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8. Question 3 · part c · 2 marks · Working and answer

Working and answer

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9. Question 3 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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3 (a) Define the term **economies of scale**.

(1)

(b) Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix.

(2)

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Figure 3 is an extract of financial information from a *Four Fitness* monthly cash flow forecast.

	€
Cash inflow	60 000
Closing balance	21 500
Cash outflow	48 600

Figure 3

(c) Calculate the net cash flow balance. You are advised to show your working.

(2)

€ .....

9. Question 3 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

Four Fitness will need to externally recruit a Marketing Manager when it opens a third gym.

(d) Analyse the benefits to *Four Fitness* of recruiting externally.

(6)

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9. Question 3 · part c · 2 marks · Working and answer

Working and answer

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10. Question 1 · part a.v · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

10. Question 1 · part a.v · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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10. Question 1 · part a.v · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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.....

(c) Define the term **qualitative data**.

(1)

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Turn over ▶

10. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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11. Question 1 · part a.v · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.v only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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11. Question 1 · part a.v · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.v only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

☒ **A** €15 000

☒ **B** €16 800

☒ **C** €25 200

☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

☒ **A** It is less expensive to operate than a flat structure

☒ **B** It has a short chain of command

☒ **C** It has more job promotion opportunities for its employees

☒ **D** It has a wide span of control

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11. Question 1 · part a.v · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.v only.

Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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11. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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Practice workbook · Sources of finance and why businesses need finance

Short- and long-term finance needs; internal and external sources (savings, retained profit, selling assets, overdraft, trade credit, loans, share capital, venture capital, crowdfunding): classification, features, advantages, drawbacks and choice.

47 question parts: 1 worked-example retry and 46 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-03

1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

(d) Explain **one** limitation of a cash flow forecast when making business decisions.

(3)

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(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

(3)

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1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

NOF has recently harvested its corn crop. It intends to turn the corn into popcorn called '*NOF* pop' to sell in the farm shop and through local retailers.

NOF is considering two options to introduce the product into the market:

Option 1: offering a low introductory price for three months

Option 2: selling at the same price as competitors.

(f) Justify which **one** of these two options *NOF* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

(f) Explain **one** advantage for a business of having loyal customers.

(3)

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Turn over ▶

2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

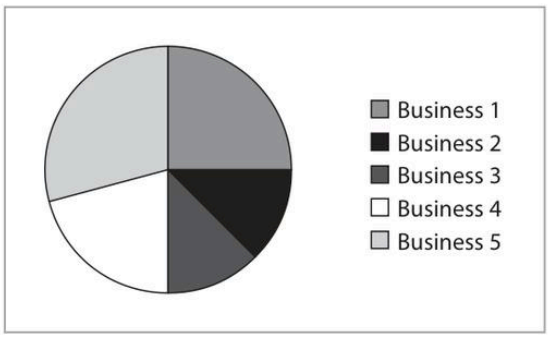


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

☒ **A** 12.5%

☒ **B** 20.8%

☒ **C** 25.0%

☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

☒ **A** A method of borrowing regular amounts

☒ **B** More funds taken out than are in the account

☒ **C** Money lent by many people to a business

☒ **D** A loan due for repayment in five years

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3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017? (1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

(vi) Which **one** of the following would be part of recruiting a new employee? (1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**. (1)

(c) Define the term **globalisation**. (1)

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Turn over ▶

3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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4. Question 1 · part c · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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Turn over ▶

5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

Figure 2 is part of the statement of comprehensive income for *Huawei* in 2018.

	(CNY) million
Revenue	721 202
Operating profit	73 287

Figure 2

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

(2)

..... %

(f) Explain **one** advantage for a business of using **sponsorship**.

(3)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.ii only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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7. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.ii only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

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3 *IKEA* aims to retain as many of its employees as possible.

(a) Define the term **overdraft**.

(1)

(b) Outline **one** reason why *IKEA* would read reports issued by governments.

(2)

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IKEA is keen to reward long-serving employees. An employee who has worked with *IKEA* for 10 years is given a bonus of 7.5% on top of their annual earnings of 177 070 SEK.

(c) Calculate, to two decimal places, the bonus this employee would receive. You are advised to show your working.

(2)

..... SEK

8. Question 3 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Define the term **share capital.**

(1)

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

3 *Starbucks* continues to increase the number of coffee shops it is opening throughout the world.

(a) Define the term **crowdfunding**.

(1)

.....

.....

(b) Outline **one** reason why the proximity of labour is important to *Starbucks*.

(2)

.....

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.....

.....

Starbucks US employees are paid a salary of $21 000 a year. In Germany its employees are paid the same salary but in euros (€).

The exchange rate is $1 = €0.91

(c) Calculate the salary of a *Starbucks* employee in Germany in euros. You are advised to show your working.

(2)

€.....

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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11. Question 3 · part b · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

3 The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

Year	US$ (millions)
2011	18 441
2013	28 508
2015	39 737
2017	42 839

Figure 2

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

%

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11. Question 3 · part b · 2 marks · Working and answer

Working and answer

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12. Question 2 · part d · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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12. Question 2 · part d · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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12. Question 2 · part d · 3 marks · Working and answer

Working and answer

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13. Question 2 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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2 *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

Kraft Heinz aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

(1)

(b) State **one** financial objective *Kraft Heinz* might have.

(1)

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(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

(3)

13. Question 2 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

(3)

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

(3)

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13. Question 2 · part c · 3 marks · Working and answer

Working and answer

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14. Question 2 · part d · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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2 *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

Kraft Heinz aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

(1)

(b) State **one** financial objective *Kraft Heinz* might have.

(1)

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

(3)

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14. Question 2 · part d · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

(3)

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

(3)

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14. Question 2 · part d · 3 marks · Working and answer

Working and answer

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15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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P 7 5 8 4 2 A 0 6 2 0

15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Analyse the importance to Kumaran, the owner of *Café Pinch*, of having motivated employees.

(6)

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(Total for Question 1 = 20 marks)

15. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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2 (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

(1)

(b) State **one** reason why branding is important to *Four Fitness*.

(1)

(c) Explain **one** advantage to a business of using total quality management.

(3)

OLevels.com SCHOOL

16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

(3)

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

(3)

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16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

Four Fitness is looking to introduce a new service to increase its market share. It is considering two options:

Option 1: as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress.

Option 2: introduce links to online fitness classes on its website that can be accessed from home. Customers will be charged for each fitness class downloaded.

(f) Justify which **one** of these two options *Four Fitness* should choose.

(9)

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16. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 In 2017 one of *Lavender's* outlets had current assets of 120 000 MYR and current liabilities of 90 000 MYR.

(a) Calculate to 2 significant figures the current ratio for 2017. You are advised to show your workings.

(2)

(b) Analyse the benefits to *Lavender* of using internal sources of finance for its expansion plans.

(6)

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17. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Lavender already uses a website to promote its products.

(c) Evaluate the benefits to *Lavender* of using other forms of technology to promote its products.

(12)

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14

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17. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

4 **Figure 2** is an extract from *NOF*'s financial information for 2020.

	£
Current assets	300 000
Stock	50 000
Current liabilities	220 000

Figure 2

(a) Calculate, to 2 decimal places, the current ratio for 2020. You are advised to show your working.

(2)

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18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits to *NOF* of using personal savings to expand its product range.

(6)

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18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

(c) Evaluate the factors that *NOF* might consider when measuring the success of its farm shop. You should use the information provided as well as your own knowledge of business.

(12)

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18. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

4 *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

..... %

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OLevels.com SCHOOL

19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

(6)

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19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate the importance of marketing for *Cadbury* when introducing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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19. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **variable costs**.

(1)

(b) Outline **one** way *Aude Rose* could extend the product life cycle of one of its products.

(2)

Figure 1 shows the retained profit for *Aude Rose*.

2021	€16 260
2022	€12 594

Figure 1

(c) Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. You are advised to show your working.

(2)

..... %

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20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Aude Rose is considering introducing a wider range of flowers for sale.

(d) Analyse the impact on *Aude Rose* of using its retained profits for this proposed development.

(6)

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20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Aude Rose is always looking to keep up with changes and new trends in the flower market. It is anticipating that this year there may well be many changes in the industry and it wants to do some research.

Aude Rose is considering two options:

Option 1: handing out questionnaires to customers that visit the shop

Option 2: using the internet to research new trends.

(e) Justify which **one** of these two options *Aude Rose* should choose.

(9)

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14

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20. Question 3 · part d · 6 marks · Working and answer

Working and answer

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21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 *Jimmy Choo* has many shops around the world.

Figure 2 shows the number of *Jimmy Choo* shops in some locations.

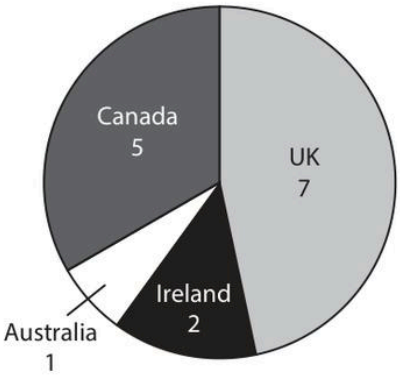


Figure 2

(a) Calculate, to two decimal places, the percentage of *Jimmy Choo* shops in the UK.
You are advised to show your working.

(2)

OLevels.COM — SCHOOL —

..... %

21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse the benefit to *Jimmy Choo* of using share capital to fund its growth.

(6)

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21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Jimmy Choo is supplied by a number of different businesses. There are some factories that *Jimmy Choo* has a large financial interest in. The majority of the manufacturing businesses are located in Italy with a few in Spain and China.

Jimmy Choo is considering investing in another clothing and shoe factory and will require skilled employees.

(c) Evaluate the factors *Jimmy Choo* would have to consider when making decisions on the location of a new factory. You should use the information provided as well as your own knowledge of business.

(12)

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21. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

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3 *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

.....

.....

(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

.....

.....

.....

.....

Backyard Shoez's monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

.....Ks

OLevels.COM — SCHOOL —

22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(d) Analyse the benefits to *Backyard Shoez* of using break-even analysis to plan the launch of its new shoes for men and children.

(6)

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22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

In order to start selling shoes to men and children *Backyard Shoez* will need additional finance.

The owners are considering the following two options:

Option 1: crowdfunding

Option 2: overdraft.

(e) Justify which **one** of these options *Backyard Shoez* should use.

(9)

(Total for Question 3 = 20 marks)

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22. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

3 *HRMW* employs staff to design the products it manufactures. The aim is to add features so that the products are better than any others on the market.

(a) Define the term **e-tailers**.

(1)

(b) Outline **one** reason why *HRMW* uses robotics in the production of its goods.

(2)

If *HRMW* produce tennis racquets with the following costs:

Fixed costs = 300 000 Rupees

Variable costs = 3 000 Rupees

Sale price = 5 000 Rupees

(c) Calculate the number of tennis racquets that would have to be made to break-even. You are advised to show your working.

(2)

..... Tennis racquets

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23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) Analyse the limitations for *HRMW* of using break-even charts when planning the manufacture of tennis racquets.

(6)

OLevels.com SCHOOL

23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

Research and development (R&D) of tennis racquets before they are produced is essential and can be expensive. To cover these costs *HRMW* is considering the following two options:

Option 1: retained profit

Option 2: selling assets.

(e) Justify which **one** of these two options *HRMW* should use.

(9)

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23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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23. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

..... %

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24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

(6)

OLevels.com SCHOOL

24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

Artify Studio is looking to increase the amount of paint materials it sells. It wants to sell painting sets for children and will need additional finance for the start-up costs of buying these painting sets.

It is considering the following two options:

Option 1: crowdfunding

Option 2: retained profit.

(e) Justify which **one** of these two options *Artify Studio* should choose.

(9)

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24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.



24. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** way *TBTS* can measure its success as a business.

(1)

(b) State **one** reason why *TBTS* might segment its market.

(1)

(c) Explain **one** benefit to a business of having a flat organisational structure.

(3)

OLevels.com SCHOOL

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25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method a small business might use to increase its profit.

(3)

(e) Explain **one** benefit to a business of using the Boston Matrix.

(3)

OLevels.COM SCHOOL

25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

TBTS wants to sell a wider variety of toys. It is planning to buy these toys from other suppliers. This will need new finance.

TBTS is considering two options:

Option 1: using retained profits

Option 2: getting a bank loan.

(f) Justify which **one** of these two options *TBTS* should choose.

(9)

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25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

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25. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

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26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

(3)

(e) Explain **one** benefit to a business of using market segmentation to target its customers.

(3)

OLevels.com SCHOOL

26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

If *AWG* expands its business in Iceland it may need to seek additional finance. It is considering two options:

Option 1: use venture capital to open new stores

Option 2: start offering franchises.

(f) Justify which **one** of these two options *AWG* should choose.

(9)

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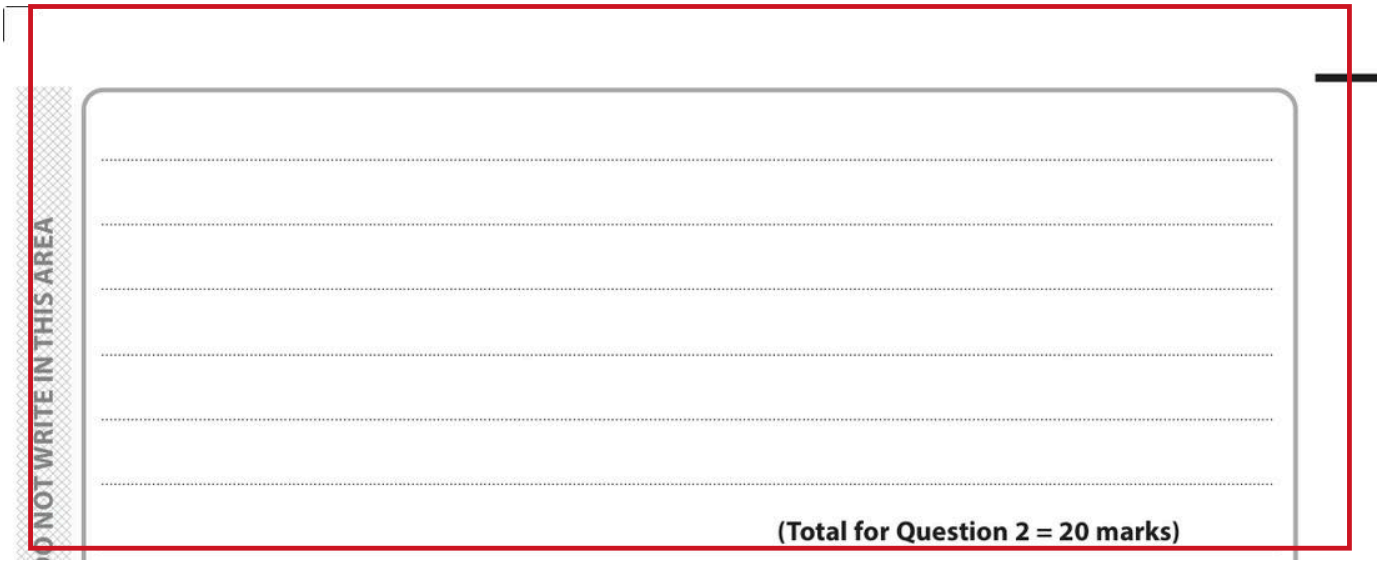
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26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.



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26. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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3 (a) Define the term **diseconomies of scale**.

(1)

(b) Outline **one** method of primary market research that *PPS* could use to gain feedback on its services.

(2)

OLevels.com SCHOOL

27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

Figure 3 is an extract of financial information from a *PPS* monthly cash flow forecast.

	€
Opening balance	16 000
Cash inflow	22 000
Cash outflow	20 000

Figure 3

(c) Calculate the closing balance. You are advised to show your working.

(2)

OLevels.COM SCHOOL

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27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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PPS wants information on its customers' spending patterns.

(d) Analyse the importance of reliable market research to obtain this information.

(6)

OLevels.com SCHOOL

27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

PPS is looking to build another eight kennels with Closed-circuit television (CCTV) in its pet hotel. To do this it will need €7 500.

PPS is considering two options:

Option 1: using Rachel's personal savings

Option 2: taking out a small bank loan.

(e) Justify which **one** of these two options *PPS* should choose.

(9)

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27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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27. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** reason why branding is important to *Saha*.

(1)

(b) State **one** task that an employee working in the production department at *Saha* might do.

(1)

(c) Explain **one** disadvantage for a business of using flow production to produce its goods.

(3)

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28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method of above the line promotion a business may use to increase its sales revenue.

(3)

(e) Explain **one** reason why the proximity to materials is important to a business when locating to a new factory.

(3)

OLevels.com SCHOOL

28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

When *Saha* expands its business it will require additional finance. It is considering two options:

Option 1: crowdfunding

Option 2: loan capital.

(f) Justify which **one** of these two options *Saha* should choose.

(9)

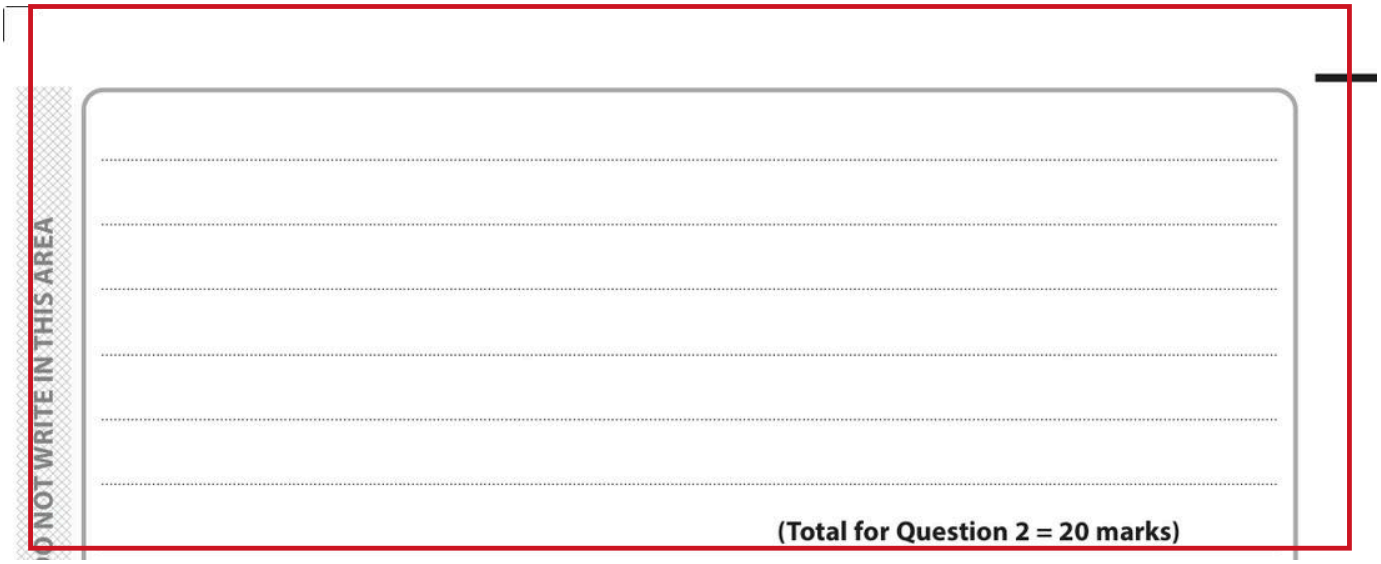
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OLevels.com SCHOOL

28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.



OLevels.com SCHOOL

28. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Define the term **share capital.**

(1)

.....

.....

.....

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

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Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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CCT wants to extend its services by offering family tour holidays and team-building days for businesses. It plans to recruit an external Marketing Manager to promote these new services.

(d) Analyse the possible effects on *CCT* of recruiting externally.

(6)

OLevels.com SCHOOL

29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Feedback from some customers suggested they became tired during the bicycle tours. To overcome this problem *CCT* is planning to purchase electric bicycles.

To fund the cost of purchasing the electric bicycles, *CCT* is considering two options:

Option 1: selling assets

Option 2: retained profit.

(e) Justify which **one** of these two options *CCT* should choose.

(9)

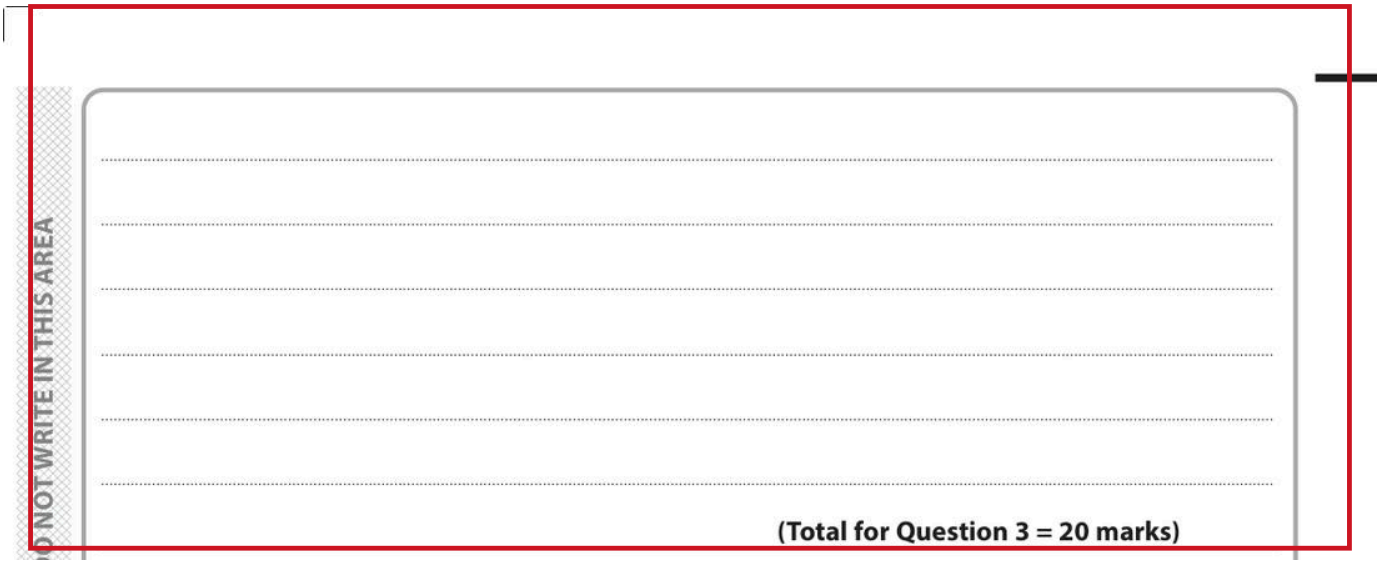
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29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.



OLevels.com SCHOOL

29. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

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(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth:

Option 1: venture capital

Option 2: loan capital.

(f) Justify which **one** of these two options the owners of *Ocean Vibes* should choose.

(9)

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30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

30. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 *Can Culleretes* offers a fixed price dinner menu at €38.40 per person. Groups of five or more are given a discount of 12.5% on their total bill.

(a) Calculate the total cost of a group of 12 people ordering from the fixed price dinner menu. You are advised to show your working.

(2)

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31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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The city of Barcelona has seen a number of new restaurants offering various menus such as Italian and Turkish.

(b) Analyse the importance of *Can Culleretes* responding to changes in its market.

(6)

OLevels.COM SCHOOL

31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Can Culleretes is opening Can Café near its restaurant. Can Café will be a smaller premise providing a variety of drinks and smaller plates of food for people in a hurry.

(c) Evaluate the impact of using venture capital as a source of finance to fund the opening of Can Café. You should use the information provided as well as your own knowledge of business.

(12)

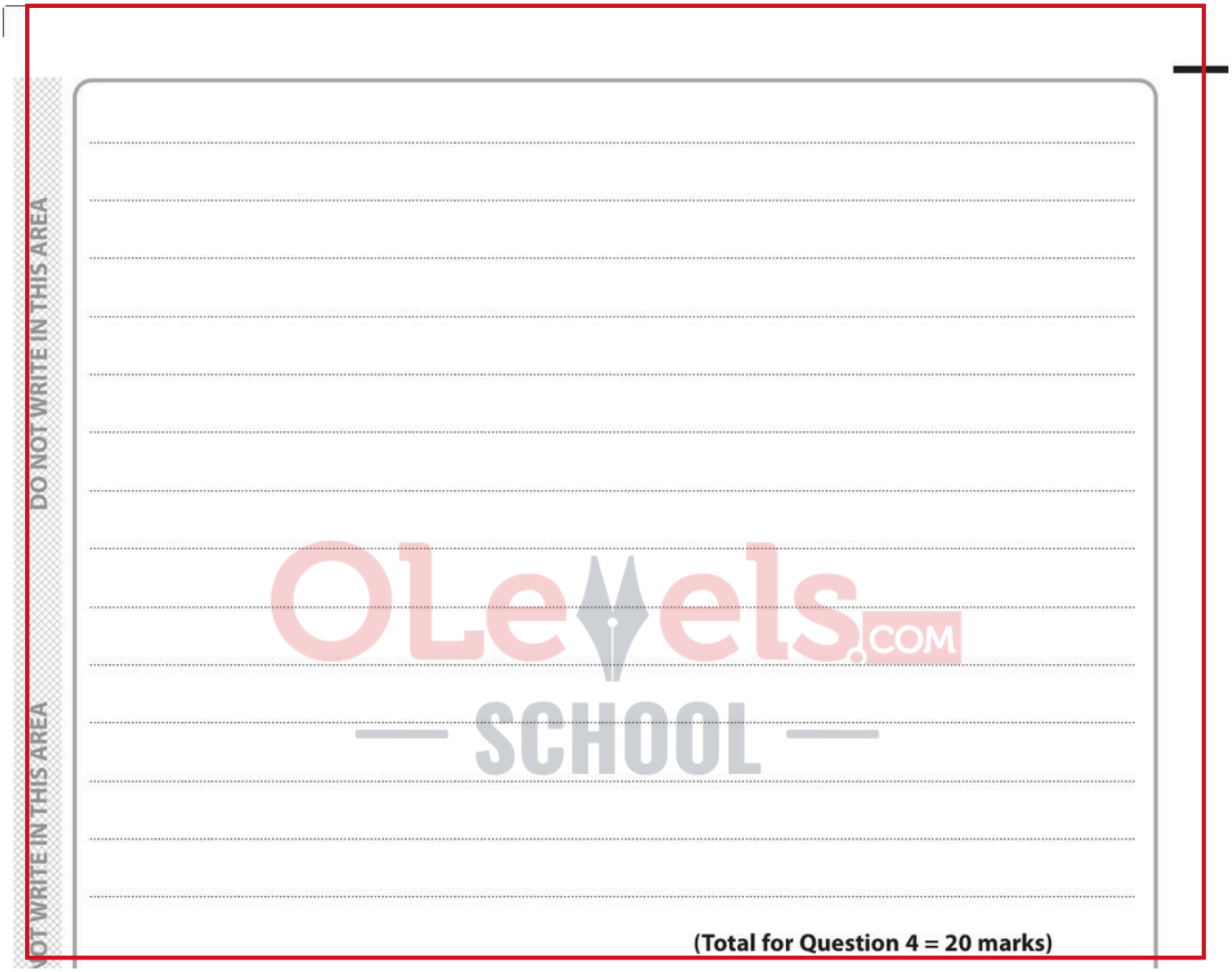
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31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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31. Question 4 · part c · 12 marks · Working and answer

Working and answer

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32. Question 1 · part a.i · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.i only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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32. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

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33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

..... MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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P 5 9 9 2 9 A 0 5 1 6

33. Question 1 · part b · 1 mark · Working and answer

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34. Question 1 · part a.v · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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34. Question 1 · part a.v · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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34. Question 1 · part a.v · 1 mark · Working and answer

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35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

- ☒ **A** £600
- ☒ **B** £1 800
- ☒ **C** £2 400
- ☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

- ☒ **A** Sharing the workload
- ☒ **B** Liability for all debts
- ☒ **C** Access to more capital
- ☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

- ☒ **A** $6.20 billion
- ☒ **B** $7.74 billion
- ☒ **C** $8.66 billion
- ☒ **D** $10.64 billion

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35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

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(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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P 6 6 4 7 5 R A 0 5 2 0

35. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

(vi) Which **one** of the following is the break-even point?

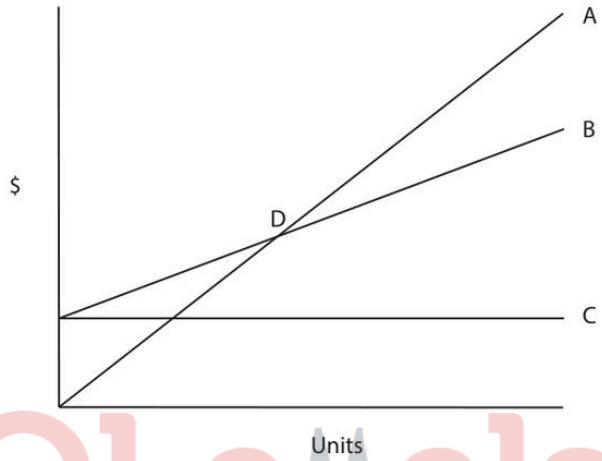


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

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36. Question 1 · part a.v · 1 mark · Working and answer

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37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

OLevels.com SCHOOL

37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

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(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

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37. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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38. Question 2 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

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2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

(c) Explain **one** advantage to a business of having a social objective.

(3)

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38. Question 2 · part a · 1 mark · Working and answer

Working and answer

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39. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.iii only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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39. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.iii only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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39. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

40. Question 1 · part a.i · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.i only.

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1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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40. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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41. Question 1 · part a.i · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.i only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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P 6 6 4 7 2 A 0 3 2 0

41. Question 1 · part a.i · 1 mark · Working and answer

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42. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.ii only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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P 6 6 4 7 3 R A 0 3 2 0

42. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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P 6 6 4 7 3 R A 0 4 2 0

42. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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43. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

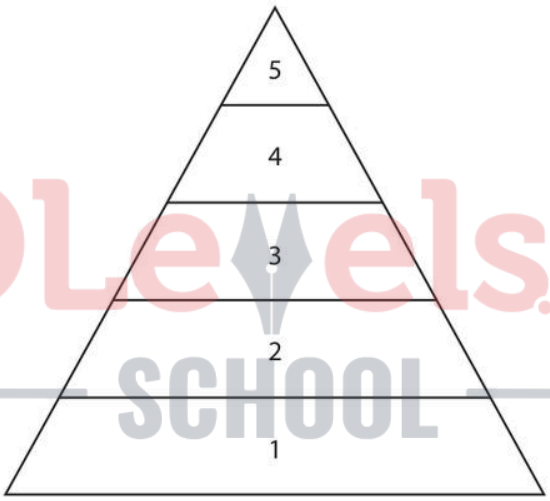


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

43. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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43. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

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1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

The currency of Iceland is the krona (ISK).

AWG's weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

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44. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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45. Question 1 · part a.i · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.i only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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45. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

Premier Inn then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

Figure 1 – Extract from *Premier Inn* financial report in 2021–2022.

	2021 £ millions	2022 £ millions
Revenue	249.60	772.80

Figure 1

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

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46. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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47. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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47. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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